

2

Misconceptions that hold us back from investing

It was a cold autumn day on 30 October 1929. Walter Thornton, a 25-year-old investor and model from New York City, parked his car, a yellow Chrysler Imperial 75 Roadster, at the side of a busy road.

He exited the vehicle and perched a cardboard sign on the windscreen. The car was worth a pretty penny at US\$1555 (about US\$25 000 today). The sign read:

\$100 WILL BUY THIS CAR. MUST HAVE CASH. LOST ALL ON THE STOCK MARKET.

Walter stood next to the car and a small crowd of men in slacks, blazers and brimmed hats looked at his offer in pity. A nearby photographer snapped a photo of this moment in time. A photo that later became famous for commemorating this moment. What had gone wrong?